

Palantir Technologies Inc.

PLTR NYSE

Hold	\$174.04 ▼ 2.78%	12M Price Target \$185.00	52-Week Range \$106.37 – \$207.52	Market Cap \$418.23B
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PLTR: Priced for Perfection, Policy Still a Tailwind

WHAT HAPPENED

- Stock dipped 2.78% on lower volume — the Motley Fool piece flagging "74x sales" (meaning investors are paying \$74 for every \$1 of revenue PLTR generates) is doing exactly what you'd expect: making people ask if the party's gone too far. That's not a fundamental problem, that's a gravity problem.
- Peter Thiel dropping \$118M into a "surging big tech stock" is the counterweight — insider-adjacent smart money still leaning in, and the options market agrees (unusual call buying at \$118-136 strikes signals bullish positioning for September).

WHY IT MATTERS

Here's the tension: PLTR is riding two of the biggest political tailwinds in the market — the ongoing DoD AI modernization push and the federal government's aggressive shift toward commercial AI vendors — but the stock has priced in essentially perfect execution for the next 3-5 years. When something trades at 74x sales, it's not investing anymore, it's a bet that growth stays 40%+ for years. The dip today probably means the market is starting to distinguish between "great company" and "great stock at this price" — those aren't the same thing. Watch for continued rotation OUT of PLTR into cheaper "Rule of 40" software names (that Motley Fool headline about a comparable Rule of 40 stock at cheaper valuation is a tell that institutional narratives are shifting).

POLICY & POLITICAL WATCH

The FY2026 defense budget continues to prioritize software-defined warfare and AI-enabled command systems — PLTR's Maven Smart System is arguably the single biggest beneficiary of this shift, and the recent \$10B ceiling expansion on their Army contract is proof. Also watch the ongoing federal AI procurement reforms: the administration's push to accelerate commercial AI adoption across civilian agencies (Treasury, HHS, VA) is a direct pipeline expansion for PLTR's Foundry platform. The risk on the horizon: any bipartisan AI safety/liability legislation that adds compliance friction for government AI deployments — PLTR would likely still win but the sales cycles could lengthen.

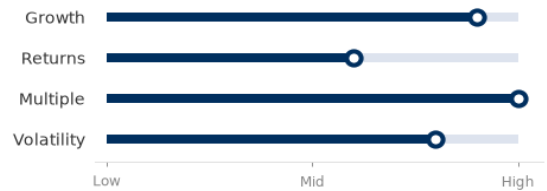
IS IT EXPENSIVE?

At \$174 and ~\$418B market cap, you're paying about 74x forward sales — for context, even Nvidia at peak hype traded around 30x sales, and most premium software names top out at 15-20x. The justification requires PLTR to compound revenue at 40%+ for 5 straight years AND expand margins meaningfully — possible, but there's no margin for error. Translation: even if the business does great, the stock can still go down if growth "only" hits 30%.

Key Data

Price (USD)	\$174.04
12M Price Target	\$185.00
Upside / (Downside)	+6.3%
Market Cap	\$418.23B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,400M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.88
Fwd P/E	280.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$195.00	\$178.00	\$155.00
6 Months	\$220.00	\$185.00	\$140.00
1 Year	\$250.00	\$195.00	\$125.00
2 Years	\$320.00	\$220.00	\$100.00
5 Years	\$500.00	\$300.00	\$90.00
10 Years	\$900.00	\$450.00	\$75.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+7.67% 5D) is on fire — likely tied to geopolitical tension and continued grid/data-center power demand narrative. Utilities are also creeping up, which historically means defensive rotation is starting.

COOLING OFF: Materials went negative on the week, and tech/software isn't in the top movers — that's a subtle sign the "everything AI" trade is losing breadth.

ROTATION WATCH: Money quietly rotating from high-multiple software into energy and utilities — that's a "late-cycle AI trade" tell. The AI infrastructure story (power, cooling, grid) is beating the AI application story (PLTR).

RELATED PLAY: If you like the PLTR thesis but hate the valuation, look at defense primes with AI exposure (LMT, RTX) or the data-center power beneficiaries (VST, CEG) — same tailwind, way cheaper multiples.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra): AI power demand thesis, cheaper multiple, direct beneficiary of same federal spending trends
- ANET (Arista Networks): AI networking backbone, growing 25%+ at fraction of PLTR's multiple

PLTR CONTEXT: PLTR is still leading the software/AI cohort YTD, but the -2.78% today with the sector broadly flat suggests it's starting to lag on valuation gravity, not fundamentals. Historically when a name trades this rich, the stock consolidates for 6-12 months while earnings catch up to the price — that's the most likely scenario here.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Love the business, respect the moat, terrified of the entry price. Cautiously constructive but not pounding the table here.

POSITION SIZE: 2-3% max — the volatility is real (52-week range is \$106-\$207, that's a 95% swing) so size for the vol, not just the thesis

ENTRY POINTS: I'd wait for \$150-160 for a real add. Chasing \$174 after a run from \$106 is buying enthusiasm, not value

TIME HORIZON: 12-24 months — the catalyst is Q3/Q4 earnings and the FY27 defense budget process

WHEN TO BAIL: Revenue growth drops below 25% YoY, US commercial growth decelerates two quarters in a row, or Karp announces departure — any of those and I'm cutting

HEDGING: If you're up big on PLTR, consider selling covered calls against your position to harvest some of that insane implied volatility (options premiums are elevated) — that pays you to wait while you hold the stock